GradientCIO

INVESTMENT COMMITTEE

Macro Briefing

Gradient investment committee · data to 2026-10-02

AS OF	THE READ	GRIP STANCE	NEXT HIGH-IMPORTANCE EVENT
2026-10-02	AM edition	Defensive · 78	ISM Services · 2026-10-05

Confidential — prepared for internal investment use · Data as of 2026-10-02

Diesel carries the Gulf premium

01

Before the carrier report, the Gulf energy premium sat in Gulf Coast diesel margins rather than Brent — and no crude or diesel price since has tested whether that split holds.

Governing thesis of The Read, 2026-10-02 AM edition S1

GULF DIESEL CRACK VS BRENT
+$9.29/bbl
One session to 2026-09-29 S1

5Y5Y INFLATION EXPECTATION
2.36%
2026-09-30; top of 12-week range S1

5-YEAR TREASURY
+58 bps
Month-over-month to 2026-09-29 S1

CRUDE TANKER FREIGHT
+318.5%
Quarter-over-quarter to 2026-09-30 S1

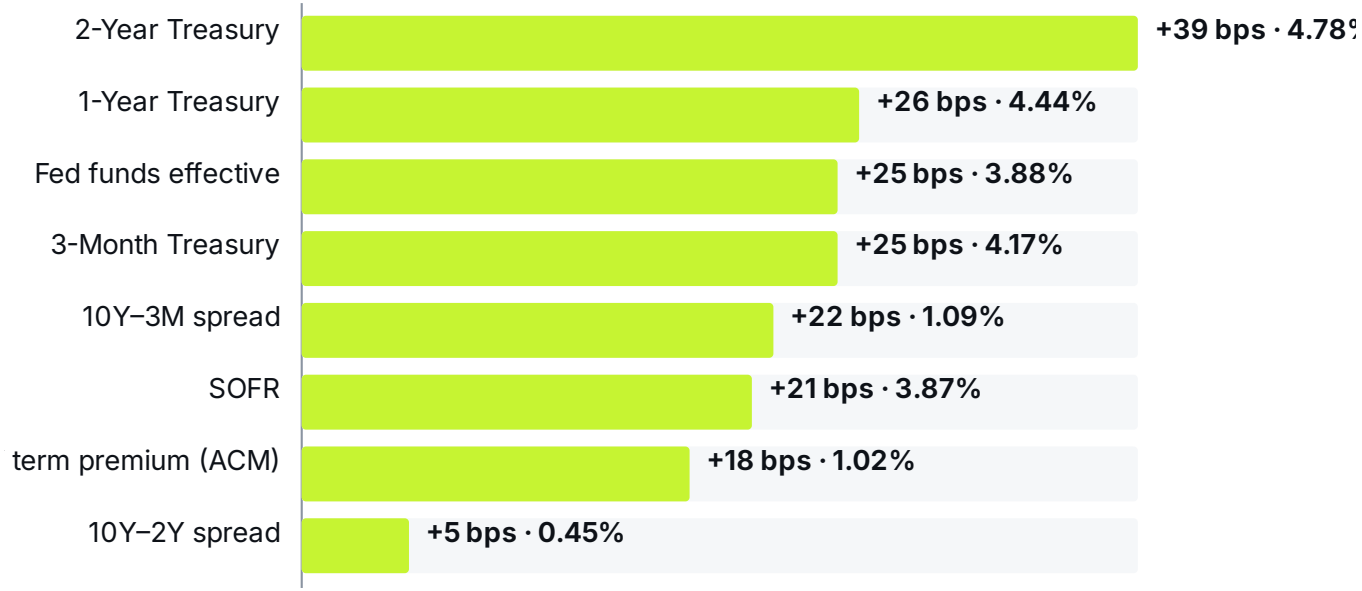
TAKEAWAY The energy shock is showing up in refined products, not crude — The Read holds this lean with low confidence until new prices print.

RATES [S2]

Rates are doing the tightening: front end up 26–39 bps in a month

02

ONE-MONTH CHANGE TO 2026-10-01/02 (BPS)



Latest observations 2026-10-01 or 2026-10-02; term premium 2026-09-25 S2.

WHERE LEVELS SIT

SERIES	1Y PCT	5Y PCT
2-Year Treasury	97.6	88.2
3-Month Treasury	97.6	42.6
10Y term premium	99.6	99.9
10Y–3M spread	100.0	85.0
10Y–2Y spread	28.2	69.0

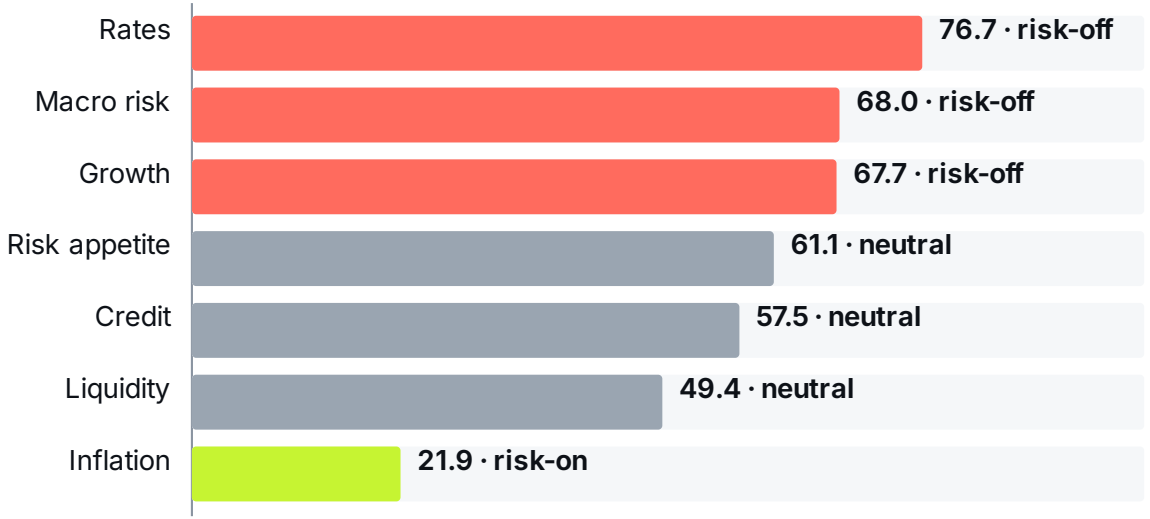
Percentile rank of the level over 1 and 5 years S2. Context, not fair value.

TAKEAWAY The front end and the term premium are both near one-year highs: financial conditions are tightening through rates, not credit.

Risk posture: neutral composite, defensive GRIP, rates pressing

03

DRIVER SCORES (0–100; HIGHER = MORE RISK PRESSURE)



COMPOSITE SCORE

57.2

Regime neutral · confidence 0.35 S3

GRIP INDEX

78

Defensive · above average · coverage 95% S3

GRIP is degraded: one stale input (GEBP, 93 days) was excluded and the GRIP Outlook calibration is missing S3. Signals describe modeled context; they are not return forecasts.

TAKEAWAY Rates are the main source of pressure; credit and inflation drivers are not adding to it.

Positioning: crowded short gold dealers, long duration asset managers

04

MOST CROWDED FUTURES POSITIONS (TEST DATA)

MARKET	TRADER CATEGORY	SIDE	PERCENTILE (156W)	DIRECTION
Gold	Swap dealers	Short	4th	Building
British pound	Asset managers	Short	2nd	Building
10-Year UST notes	Asset managers	Long	97th	Unwinding
2-Year UST notes	Leveraged funds	Short	100th	Unwinding

How to read this

Positioning is disclosed exposure, not intent or a forecast. Hedge-fund 13F consensus covers 29 of 30 cohort managers for 2026-06-30 and lags by up to 45 days S7.

SIGNAL DETAIL [S3]

What supports risk and what detracts

05

DETRACTING (STRESS)

SIGNAL	DRIVER	Z
Gradient Term Premium Proxy	Rates	+2.48
10-Year TIPS real yield	Rates	+2.91
5-Year Treasury yield	Rates	+2.76
Private markets carrying-mark pressure	Growth	+2.18
Private markets alt-manager pressure	Risk appetite	+2.04

SUPPORTIVE (RISK-ON)

SIGNAL	DRIVER	Z
Gradient High Yield Proxy	Credit	−1.28
Commodity Cycle Composite	Inflation	+1.36
Gold Conditions Proxy	Inflation	−3.65
Livestock Proxy	Inflation	−3.83

z-scores as reported for each signal's own basis S3.

TAKEAWAY Stress is concentrated in real yields and private-markets marks; credit spreads remain supportive.

THE OTHER SIDE [S1]

What would confirm or break the thesis by CPI on 2026-10-14

06

> **The rival view (The Read)**
> “The Gulf premium already lives in crude and has been fading … A domestic refinery or distillate-inventory squeeze could explain the margin spike just as well.” S1

- No post-report reading of tanker transits, war-risk premia or Brent backwardation yet separates the two explanations S1.

LEVELS THE READ IS WATCHING

GULF DIESEL CRACK VS BRENT	READING
$102/bbl or higher by 2026-10-14	Refined products carry the Gulf premium
$78/bbl or lower by 2026-10-14	Spike transitory; favours crude-or-fading view

Levels from The Read's monitoring unit S1; current level not restated here because it appears only in prose.

TAKEAWAY Treat the diesel thesis as a hypothesis with explicit tests, not a call.

CALENDAR · NEXT 30 DAYS [S4]

A crowded window: CPI, FOMC, ECB and BOJ inside two weeks

07

DATE	EVENT	IMPORTANCE	WHAT TO WATCH
2026-10-05	U.S. ISM Services PMI	High	Sub-50 activity with rising prices would break the cooling path
2026-10-14	U.S. CPI	High	Breadth of core: services re-acceleration lifts front-end yields
2026-10-15	U.S. retail sales; PPI	High	Control group = real consumption; PPI margins = pass-through
2026-10-28	FOMC decision	High	Projections and press conference set the front-end path
2026-10-29	U.S. GDP; PCE; ECB decision	High	Core PCE vs spending; ECB persistence vs growth
2026-10-30	BOJ decision	High	Earlier hike signal lifts JGB yields and the yen
2026-10-31	China NBS PMIs	Medium	New orders below 50 would pressure commodities

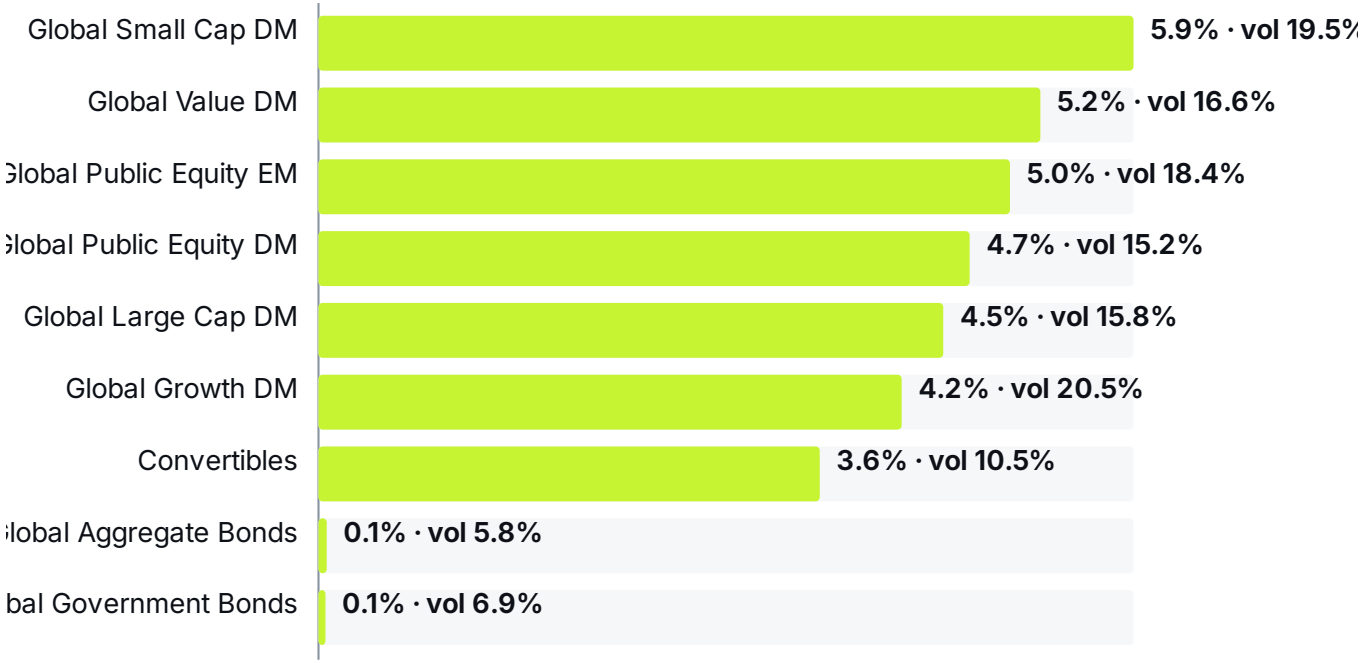
Scheduled dates are known calendar events, not forecasts; 14 events in the window, 12 retrieved S4.

TAKEAWAY The thesis test (CPI, 2026-10-14) lands two weeks before the FOMC.

10-year assumptions: equities ~4–6% over cash, bonds ≈ cash

08

EXPECTED EXCESS RETURN OVER USD CASH, 10 YEARS, ARITHMETIC



Risk-free rate	**3.81% (3-month T-bill, 2026-10-01; fresh)** S5
Base currency	**USD, unhedged** S5
Horizon / basis	**10 years · excess over local cash · arithmetic** S5
Quality receipt	**Unvalidated** S5

> Bond excess returns near zero rest on a policy value shared by both bond factors; Gradient flags these rows and raw kurtosis below 3 for review S5. Use for context, not comparison.

TAKEAWAY House assumptions favour equity risk premia; the fixed-income rows need methodology review before use in sizing.

FOR DISCUSSION [S1]

Questions for the committee

09

01 **How did real yields and credit spreads reprice around jumbo issuance and the FOMC run-up — and what does that imply for risk appetite?**
Rates are the dominant pressure in the Gradient signal; credit has not confirmed it.

02 **How likely is escalation to disrupt Gulf crude flows, and where are we exposed if it does?**
The Read's thesis depends on whether the premium moves from diesel into crude.

03 **What must the 2026-10-28 FOMC resolve about long-end real yields for the risk-off lean to hold?**
10-year TIPS real yield is a +2.9 z-score detractor.

04 **How would the Fed weigh a diesel squeeze against rising real yields?**
Determines whether energy is an inflation or a growth risk for the portfolio.

SOURCES AND METHOD

Sources, data quality and limits

10

TAG	SOURCE	AS OF	VALIDATION	NOTES
S1	The Read (get_the_read, AM)	2026-10-02	Passed	Coverage partial: analysis and chart history unavailable
S2	Rate indicators (get_macro_conditions)	2026-10-02	Passed	FRED via Gradient; 8 series
S3	Gradient signal and GRIP (get_macro_signals)	2026-10-02	Passed	GRIP degraded; regime-state view unavailable (500)
S4	Scheduled events (get_macro_calendar)	2026-10-04	Passed	12 of 14 events retrieved
S5	CMA baseline (get_capital_market_assumptions)	2026-10-04	Advisory	Quality receipt unvalidated; 15 quality flags

Numbers come only from structured fields; The Read's prose is quoted, not mined for figures. Signals, percentiles and GRIP describe historical or modeled context, not forecasts. CMAs are Gradient house assumptions, not realized performance. Not investment advice.